

hawaiian electric industries he

August 25, 2023 - 2:11pm EST
by

Ray Palmer

			2023	2024
Price:	10.00	EPS	0	0
Shares Out. (in M):	110	P/E	0	0
Market Cap (in \$M):	1,100	P/FCF	0	0
Net Debt (in \$M):	2,618	EBIT	0	0
TEV (in \$M):	3,700	TEV/EBIT	0	0

Description

This is a speculative and fast moving play. Gun to my head, I'd guess the near term path of the stock is down, as we likely see continued lawsuits and a bankruptcy filing in the near term.... but, that said, I think there is the potential for massive upside here, and the probability weighted expected value here is pretty high. I'm fully paid up on ideas this year, and there is no post on HE to discuss ongoing process, so I'm posting this to get a discussion going (particularly for people with experience in the PG&E bankruptcy a few years ago), not as a full out recommendation (though I do have a small position as, again, I think it's hairy but the weighted average EV is pretty good!)

Anyway, Hawaiian Electric Industries (HE) is a holding company with two major subs: Hawaiian Electric, the main utility in Hawaii, and American Savings Bank (ASB), the ~third largest bank in Hawaii. The company's stock has been crushed recently as they likely [caused the wild fire that burned down Lahaina and killed over 100 people](#), leaving them facing billions of liabilities. Last night, [Maui County sued Hawaii Electric for billions in damages](#) (including punitive damages!) for the fires and [the WaPo broke a story that HE may have removed evidence from the fire scene](#). If that wasn't enough, [yesterday HE drew down their revolver](#), which probably signals an imminent bankruptcy filing so they can start figuring out what to do with the dozens of lawsuits streaming in.

At the start of the month (i.e. before the fire), HE had a market cap ~\$4.3B. Almost every estimate of damages, even ignoring punitive damages, are well over that number, so there is a real chance HE's stock is wiped out by the claims.

However, at today's prices, I think the risk weighted reward is in investors' favor.

At the end of July, HE was trading for ~\$38/share. Let's use that as the unaffected price. With ~110m shares outstanding, HE had a market cap of \$4.2B. The stock price as I write this is ~\$10/share, implying a market cap of ~\$1.1B.

So you could look at those numbers and say the market is implying a ~75% of a bankruptcy and complete wipe out (the ~\$28/share drop divided by ~\$38/share). That feels too high to me, as there are a variety of outcomes here that could lead to equity recovery.

Let's start with the first: we still don't know for sure the cause of the fire. It seems almost certain that Hawaii Electric's equipment started the fire, but we don't know for sure. In all of the infinite multi-verses, is there one where HE didn't start the fire? Not many, but surely there's one!

Next, there's the question of if HE will be held liable for these damages. There are two ways HE could be found liable. The first is under "inverse condemnation". Inverse condemnation lets property owners sue someone for taking their property without their permission. It's generally used when the government takes private property for public infrastructure. It was used in 2018 to hold PG&E responsible for the wildfire damages; however, [California was a unique case](#). As far as I am aware, inverse condemnation has not been used against utilities in any other states. While [plaintiffs will try to get it applied in Hawaii](#) (and the plaintiffs are **very** sympathetic; I certainly feel awful for them and am in no way trying to convey otherwise!), there is [no precedent for inverse condemnation on a utility in Hawaii](#) and it's overwhelmingly likely that inverse condemnation will fail here.

Without inverse condemnation, in order to be held liable plaintiffs are going to need to prove that HE's negligence caused the fire. There are some great strings for the plaintiffs to pull at; we've seen lots of reporting that HE may not have been acting full speed ahead to reduce wild fire risk (for example, WSJ has an article ["Hawaiian Electric knew of Wildfire Threat, but Waited Years to Act"](#)), and the [county is alleging HE "negligently" failed](#) to shut off power despite exceptionally high winds and dry conditions.

So there is real risk HE is found negligent. However, I would note that all of the reporting and lawsuits have been done targeting HE, and we have not heard their side of the story.... and I think HE will have some solid legal facts on their side.

On the "negligently" not turning power off front, HE has two defenses.

1. HE would argue that their electricity powers Maui's water systems([and they've done just that in multiple stories!](#)), so shutting down the power would actually remove the county's ability to respond to fires. I've seen [some reporting that argues the water pumps could operate without electricity](#); I do not know if that's true or not (that article is the only one I've seen that has said that, and I've been unable to get a straight answer from my checks so far), but that actually blends nicely into the second defense. Shutting down power is not something utilities do lightly; when you do it, residents get mad. Critical services can be affected. Look at PG&E; in 2019, [they started shutting down power during wildfire season](#), and [residents were furious](#).
 - Could HE argue that they weighed the risks of shutting down power versus keeping it on and the risks of blacking out a city outweighed the risks of a fire?
2. The second defense is a little more tin hat, but hear me out. Hawaii is a state very dependent on tourism. You know what tourists hate? Random hours long blackouts during their vacation. HE obviously knew there were risks of wildfires; is it possible over the last few years (particularly in light of the California wildfire and subsequent black out debacle) there are communications between HE and the utility regulator where the regulator leaned on them to do everything possible to avoid blackouts and keep the power running?

I think there is a good possibility that both defenses will have some merit or turn up some evidence; certainly enough to prove that HE did not act completely negligently.

The second negligent question is if HE didn't adequately prepare for wildfires.

Maui's suit certainly hits on this, noting that a lot of HE's power system were over ground wires that were on wood poles (in fact, the suit calls out "decaying" wood poles quite a bit), which are much more at risk in high winds than underground wires. And a lot of the journalism around this points to [HE's 2022 request to increase their rate base](#) in order to invest ~\$190m into hardening their system. Utilities have a duty to public safety over shareholders, so even if that request was turned down or delayed (it appears to have gotten stuck in limbo), plaintiffs can say HE knew their system was at risk and failed to act in order to enrich shareholders. That'd be a huge no-no and quite negligent.

Again, there's risk here, and it's tough to tell, but HE is a utility. They're always trying to increase their rate base. HE invests tens of millions into maintenance spend every year; I suspect they will be able to point to plenty of investments they've made into maintaining and hardening their system that would keep them far, far afield of "negligently" maintaining their system.

So, in order for HE to be found liable here, they likely need to be found negligent. Could they be? Absolutely. But it is by no means a slam dunk case; before these fires, I don't think anyone would have pointed to HE as particularly poor operator. In fact, [they've won several awards](#), including 2019's "utility of the year." So, if and when the trial comes, I think HE will have a strong case that they were a solid operator that got hit with extremely unfortunate conditions that caused a tragedy but they were by no means negligent.

But let's say they are found negligent. Even then, investors would have some potential upsides.

The first is limiting the damages to the Maui Electric sub. Maui Electric (which provides electricity to Maui and would ultimately have caused the fire) is actually a 100% owned subsidiary of Hawaiian Electric (the utility sub which is ultimately owned by the HE holdco). There is a chance the the liability could be ring fenced and limited to just the Maui sub. If that's the case, it would be a bonanza for shareholders; Hawaiian Electric did ~\$190m in net income in 2022, of which ~\$26m came from Maui electric. If you could just ring fence the Maui Electric sub, the rest of Hawaii Electric is probably worth ~\$25/share to HE and the stock is a grand slam.

Do I think this is likely? No. Hawaiian Electric clearly controls Maui and they operate as basically one (for example, going to [mauielectric.com](#) will redirect you to the Hawaiian electric website, and my understanding is that all of their vehicles in Maui operate under the Hawaiian Electric brand), but (similar to the world where HE's equipment didn't cause the fire) there is at least some universe where plaintiffs cannot pierce the veil from Maui to Hawaiian Electric. HE is clearly exploring this option; [their August 17th update notes](#) ring fencing is a "complex legal question" that will take time to work through.

The second defense is if plaintiffs can pierce the veil from Hawaiian Electric to the the holdco. Remember, the holdco owns ASB in addition to the utility (the holdco also owns Pacific Current, which invests in renewables, but I don't think there's much value there). If the holdco can avoid having the veil pierced, there could be some stub value for equity holders here. The bank has ~\$500m in book value (at the end of Q2) and did ~\$77m in net income over the LTM. It's probably worth between \$5-10/share to HE.... however, HE has ~\$7-8/share in holdco debt. So there's probably nothing (or not much) here, and investors will need some recovery from the utility in order to get a more than token recovery.... however, it is worth noting [management has indicated ASB is completely ringfenced from the fire liabilities](#) and swapped some directors from the HE board to the independent ASB board, so they are clearly working to preserve value. Perhaps there is some path to spinning the bank to shareholders through the bonds, or maybe the bank is worth a little bit more than I projected and it provides shareholders with a few dollars of downside in a complete wipe out of the electric utility.

Anyway, to get that bank value you'd need to avoid piercing the veil from the utility to the holdco. Unlike with Maui Electric, I think there's a very good chance you can avoid that pierce. Hawaiian Electric operated as a completely independent sub with its own debt, its own management team, etc. from HE. It will get contested (the Maui county lawsuit names the holdco as a defendant), but I do think this line will get defended.

So, to sum up, there's a lot in the air here. The key questions are

- Did HE start the fire?
- If yes, will HE be liable for the fire? How?
 - Inverse condemnation?
 - If no, negligence?
- If yes, can HE ring fence Maui Electric from Hawaiian Electric?
 - If no, can HE holdco ring fence Hawaiian Electric?

At ~\$10/share, the market is saying there's a ~75% chance that the answer to all of those questions turn up against HE. That just seems too high to me. HE not starting the fire or ring fencing Maui Electric are long shots, but [in the immortal words of Lloyd Christmas, there's a chance!!!!](#)... and, as the story plays out, it seems like there's at least a 25% chance HE can prove they weren't negligent.

There is one other part to this story that is worth mentioning: settlement and politics.

Again, the plaintiffs here are very sympathetic. This is an absolute tragedy.

But utilities are capital intensive beasts. It sounds nice to say "bankrupt HE and take everything they're worth for victims...." but if you do that it's going to be very hard to get investors to pony up capital (particularly equity capital) to literally keep the lights on. Utilities are astute lobbying machines, and HE is a

massive employer (Hawaiian Electric is the 12th largest employer in Hawaii, and ASB is #33) with decades of lobbying relationships built. They are going to call in every favor they have to let politicians know how dangerous it will be for the islands long term health / capacity to rebuild if they try to completely ax HE in a downside scenario.

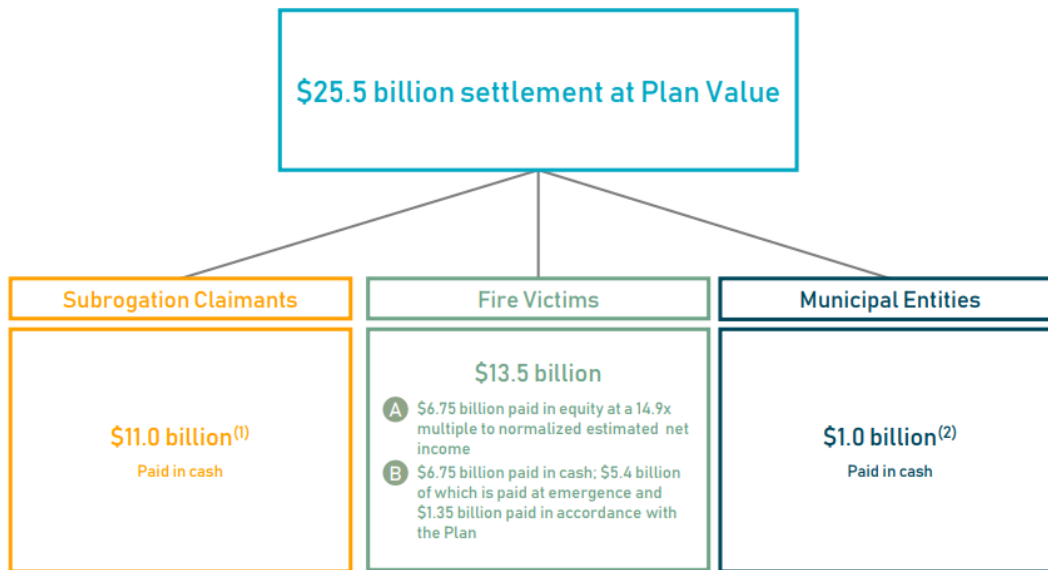
I would point to something like what happened with PG&E's bankruptcy as a path forward. You can [see the full emergence deck here](#), but PG&E used the bankruptcy to agree to pay out victims through a combination of cash and equity. Importantly, regulators approved extra rate base to help the company emerge.



CHAPTER 11 PLAN OVERVIEW, FINANCING & ARRANGEMENTS

Overview of Wildfire Settlements

The Company has settled all claims related to the 2017 and 2018 wildfires for \$25.5 billion at Plan Value, as further described below.



(1) Settlement includes an additional \$55 million of professional fees.
 (2) Settlement includes an additional \$10 million of professional fees.

It wasn't pretty for existing equity holders, but they received ~25% of the equity in the new company. All in, if you held PCG stock from 2018 through the emergence, the value of your shares dropped ~80%. Not great, but they did have value. And, considering the company emerged and did a huge equity raise at literally the depths of COVID (May/June 2020), it's a pretty impressive feat!



HE's stock is already down ~75%, so it's mirroring the full decline of PCG. Obviously, you could argue this is warranted: California is much bigger than Hawaii, and PCG is much bigger than HE. Both helped (a big part of the emergence was all California utilities contributing to ongoing wildfire funds). But HE doesn't have inverse condemnation, and HE has all of the other defenses I've mentioned before.

How does this all play out? Who knows? But there are lots of avenues for value creation from here. Could HE file for bankruptcy and reach a settlement with victims that is, in part, backstopped by an approved rate increase? If HE paid victims \$3B, with part of that funded by equity and regulators allowing for a big rate base increase, the stock would likely be a homerun.

I certainly don't know how any of this plays out.... but the market is implying ~75% chance HE is a flat zero. That just feels too high to me. There are a variety of ways this can play out where HE realizes recovery in excess of today's share price, and there are a lot of consensual paths that create value for all stakeholders that sees shareholders get equity value around or in excess of today's share price.

So, apologies for the rambling post, but wanted to throw out a bunch of thoughts on an interesting and ongoing situation and see if anyone else was looking at it.

PS- one more thing worth noting. Right now, things are moving **fast** in the HE case. Maui sued, we're getting breaking journalism every day, etc. I suspect HE will preemptively file for bankruptcy in the near future..... but, after that, things will slow down meaningfully. Look at the PCG chart above: the stock got hammered as it became clear they'd be on the hook for wildfires. It was down ~80% in six months, but then it kind of just drifted along as the bankruptcy process played out. After HE files, I suspect the story and news flow slow down a lot, and the stock has already been absolutely hammered. This obviously isn't trading advice, but implied vol on HE's options is around 150-200. Given I think this is a much slower and drawn out process than the market, there are probably interesting plays in using those options capture volatility in some way.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Settling the huge liabilities in some way shape or form

Messages

Subject A few thoughts
Entry 08/25/2023 02:53 PM
Member zax382

Thanks for getting this thread started a nice job of laying out the facts. As an unfortunate veteran of PG&E situation have a few things to add:

- 1) You are definitely right on inverse condemnation, can't imagine that gets applied here.
- 2) The standard for utility negligence in this case *i believe* is unfortunately "reasonableness of care" , vs in many states it being "gross negligence" -- this initially looks like a rough setup for HE, as it may be easy to say they should have been more "careful" both in their precautions for fire and also for their behavior the day of. While you're right that shutting off power to a resort because its windy would make everyone angry, in hindsight its going to seem "obvious" -- you combine this with an angry community that needs someone to blame and more important, needs a capital base to drain -- and this battle looks really, really difficult for HE.
- 3) One thing to take away from the PG&E situation is that the facts on the ground and standard in the case wasn't actually important -- you had a \$20bn liability that needed to be paid, and someone available to pay it. The powers that be were going to make these two connect -- and hard to imagine they don't make them connect in Hawaii.
- 4) Unfortunately, It doesn't matter what actually started the fire. You can just bank 100% that HE will take the blame. PG&E definitely didn't start the Tubbs fire! Calfire spent a year determining this. This somehow became irrelevant and the liability fell on PG&E anyway, just because in front of a jury or a judge fire liability is hard to determine and there were downed powerlines in the area etc etc. Whether HE started the fire or not, for the purposes of this case, they started the fire. The only exception is if they catch some arsonists which looks unlikely at this point, and there was no lightning that day. Also, its highly highly likely power lines started this.

My take here is pessimistic. You have a very angry community with hundreds (thousands?) dead. A bad set of facts. And a big piggybank of money to help make the victims' lives better. There is no political institution -- national or local -- who is going to defend the utility, and unlike PG&E, this company just isn't BIG enough to absorb this liability. The only way PG&E had any equity value left was that it started at \$50bn+. Not the case here -- I think this will be a super interesting post reorg opportunity....hope i'm wrong.

Subject Inverse condemnation
Entry 08/25/2023 03:25 PM
Member Ray Palmer

While I don't think inverse condemnation gets applied, it's not completely impossible. This was [a really good podcast discussing](#) the precedents and possibilities for Hawaii; there are some legal paths that could lead to it getting applied (and obviously you'll have very compelling plaintiffs).

I believe Hawaii has two supreme court spots open; monitoring who gets confirmed to those could be a tell for if this is going one way or the other.

Subject great writeup
Entry 08/25/2023 03:32 PM
Member marwari25

Great writeup.

Subject Re: A few thoughts
Entry 08/25/2023 11:20 PM
Member Shoe

There's already some pretty good evidence that downed power lines started the fire

<https://www.youtube.com/watch?v=0LBvBgkAMNY>

<https://www.washingtonpost.com/climate-environment/2023/08/15/maui-fires-power-line-cause/>

Subject Re: Re: A few thoughts
Entry 08/26/2023 11:45 AM
Member Ray Palmer

Yes, I think it's near 100% HE's equipment started the fire; the thesis certainly doesn't rest on them not being the cause. As mentioned in the write up "we still don't know for sure the cause of the fire. It seems almost certain that Hawaii Electric's equipment started the fire, but we don't know for sure. In all of the infinite multi-verses, is there one where HE didn't start the fire? Not many, but surely there's one!"

Subject Bonds
Entry 08/26/2023 02:40 PM
Member Sextant

Any thoughts on the bonds and whether they are better risk/rewards? They are very illiquid so probably not investable for a lot.

The revenue bonds seems interesting though, I think they are in the 60s. My amateur reading is that these are issued by the state of HI, backed by a promissory note from HE to pay it from revenue. I am not sure how good that security is, but seems at least better downside protection than the equity even if it does file Chp 11?

Subject Re: Bonds
Entry 08/27/2023 11:06 AM
Member Ray Palmer

I have not to be honest. As you noted, they're pretty illiquid; combine that with better upside in the equity and I stopped there for now.

Subject We didn't start the fire?
Entry 08/28/2023 07:06 AM
Member Ray Palmer

HE filed a [response this morning arguing that they didn't start the fire](#)

I thought it was a long shot they didn't start the fire, but there was always a chance! We'll see how this plays out, but if they're right, the stock is way too cheap and will be a grand slam. A really positive potential development. Still too early to tell.

Stock is up ~\$3/share to ~\$13/share pre-market. That feels about right; if the odds they didn't start the fire went from 1% to 10% and the stock is a ~\$40/share stock if they have no liabilities, that's worth ~\$3/share (9% * \$40 less all of the other probabilities, many of which have some equity value, coming down a bit)

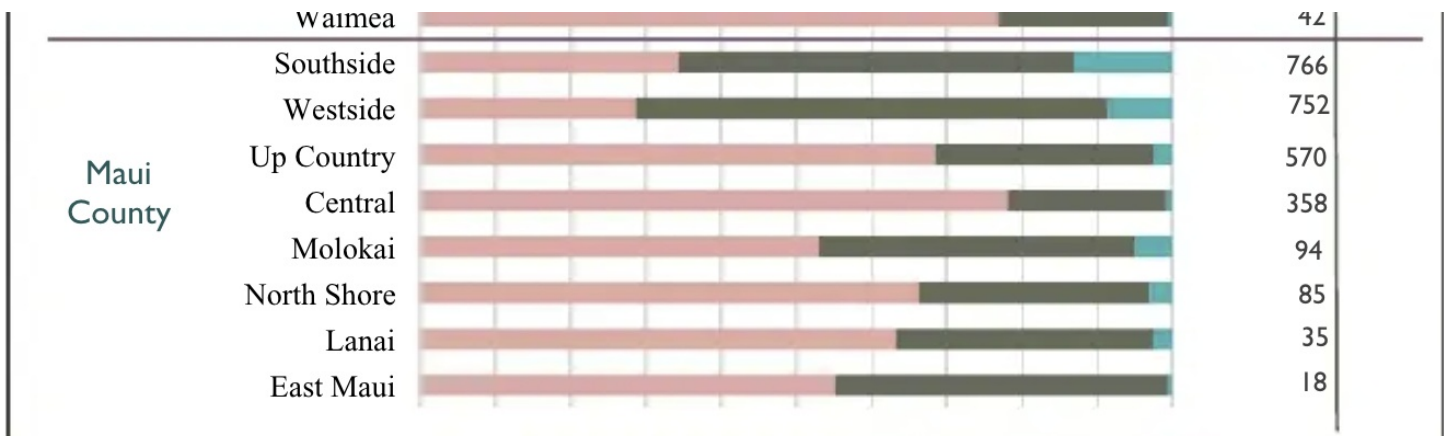
Subject Re: We didn't start the fire?
Entry 08/28/2023 09:21 AM
Member mrsox977

The Maui County suit seemed very premature. Hawaii does not exactly have the best reputation when it comes to honest government.

Subject politics and sentiment
Entry 08/28/2023 11:37 AM
Member surf1680

I lived on Maui for a couple of years. Lahaina was a town full of tourists. Maybe that is why this fire resonates with the media.

Google Earth has pre-fire and post-fire satellite images - maybe you can get a sense of what type of resident lost what. This data is from 2015 and I couldn't paste the graphic and the key at the same time but it shows that westside of maui is majority owned by mainlanders. If they hand mainlanders big settlement checks they have to make it up with higher electricity prices for locals (HI residents already pay the most for electricity).



<https://www.hawaiinewsnow.com/story/30634656/priced-out-of-paradise-mainland-foreign-buyers-snapping-up-hawaii-homes/>

Subject Re: politics and sentiment
Entry 08/28/2023 11:44 AM
Member eigenvale

You have to differentiate between Kapalua (very expensive, did not suffer from the fire, and owned by mainlanders), Napili (very expensive, did not suffer from the fire, and owned by both locals and mainlanders) and Lahaina town which is owned primarily by the locals and did suffer tremendously. In other words, you need block by block analysis.

Subject Re: Re: politics and sentiment
Entry 08/28/2023 11:56 AM
Member surf1680

True about Kapalua. Block by block, having walked those streets a decade ago, and now observing using Google Earth, I'd guess half the houses that burned up were mainlanders. Just a guess.

Subject Maui Firefighters Took Lunch as Lahaina Blaze Seemed Dead. Then It Grew.
Entry 09/19/2023 03:22 PM
Member Ray Palmer
<https://www.wsj.com/us-news/while-maui-firefighters-broke-for-lunch-the-wildfire-that-destroyed-lahaina-grew-f83c9dfd>

Again- not trying to downplay the tragedy here (the pictures and stories remain heart breaking), and I don't think the firefighters are going to get held liable..... but it's certainly an angle I hadn't considered in the original write up, and I think it shows how hard it's going to be to hang all liability / negligence on HE.

Subject Wasn't me
Entry 09/27/2023 05:41 PM
Member Ray Palmer
 HE's CEO is testifying in front of congress tomorrow and is sticking with the "wasn't me" defense
https://d1dth6e84htgma.cloudfront.net/Kimura_Testimony_OI_Hearing_09_28_23_Maui_Fires_5a346561e8.pdf

Subject Author Exit Recommendation
Entry 12/29/2023 09:15 AM
Member Ray Palmer
 The author has recommended exiting the position

Subject Re: Author Exit Recommendation
Entry 12/29/2023 09:17 AM
Member Ray Palmer
 Id guess HE is slightly positive EV at these levels, but with the stock up >40% and disappointing (IMO) progress on hiving off liabilities, I'm moving on. May re-engage if the stock craters on a potential BK filing

Subject county of Maui council
Entry 07/18/2024 10:26 AM
Member surf1680
 Council thinking MORE about their constituents ongoing electric bills and access to capital than they are about compensating victims. Great call!

Subject settlement
Entry 07/19/2024 09:43 AM
Member Ray Palmer
<https://www.reuters.com/world/americas/hawaiian-electric-others-agree-proposed-4-bln-maui-wildfire-deal-bloomberg-2024-07-18/>

Kicking myself a bit as I noted when I closed that I thought HE was probably slightly positive EV, but I thought the risk of a BK and short term mark to market was a big overhang.

If the settlement proposals are correct (\$1.5B spread out over several years), there's probably quite a bit of upside from current prices..... but I'd need to see full details, ensure they get full release, etc.

Subject Re: settlement
Entry 07/19/2024 10:08 AM
Member Motherlode

I see substantial risk to the settlement.

1) The news here does not affirm the presence of a deal that all parties have agreed to. Maui County is preliminary asking for approval to sign up for a deal... if a deal happens. we know that. We suspect HE's is on the hook for \$1.5bn. we know the insurance claim bid/ask is really wide. we don't know who is filling the massive \$2.5bn part of the claim - but it has to be the state

2) thinking thru the potential points of disagreement and risk to a settlement...

Defendants:

Presumably they all received a deal like HE, except for the state who must be kicking in A LOT. All of the plaintiffs, ex the state, are going to sign up - just like HE will. however, the Governor can't just wave his hand and cut a check for \$1.5-2.0bn? He needs legislative approval. This means higher taxes and a corporate bailout. Constituents love this - especially as the highly suppressed ATF report will need to be presented before anything is approved. Will this pass? This legislative body is absurdly stupid - but they are more self-interested. There is a way to fund these claims, the fire hardening and green initiatives without raising rates and taxes... force HE to file. As such, I suspect there is some chance that this funding is not approved.

Plaintiffs: the article references a bid ask on the insurance subrogation claims of \$600mm x \$2,000mm. there is no way the insurance companies will sign up for this. they will sell their claims to distressed bidders before they do that. The distressed holders will sue this company into bankruptcy. If they are jammed in this settlement, this deal is DOA.

Further, there is a real risk that a large component of the plaintiffs hold out. So - you might get a settlement that wraps up \$2-3bn of claims... but \$2-3bn hold out? if so, HE is hosed.

as to the upside, I don't see that much after \$1.5bn of dilution. The only way I see upside is if they are allowed to raise rates to fund all of this. Pretty amazing... HE burns down a town, massacres 100 people due to gross negligence... then gets the victims to pay for the damages.

also worth mentioning, now that the plaintiffs see HE stock up here... they are going to want more.

Is this fake news or a rumor to see if they can get this work?

Subject bias conviction
Entry 07/19/2024 10:23 AM
Member surf1680

This was such an interesting case study... as it was written up as a long and a short, AND had lots of discussion. FWIW, as a long, my bias says there will be quite a squeeze now as 22% is sold short and there was so much conviction on short side.

No one will know what actually happened behind the scenes but as a former Maui resident I can tell you that all this was negotiated behind the scenes such that mainlanders get screwed (especially ambulance chasers from mainland) and residents don't pay more for electricity. They don't want to wipe out equity (when it may be the fault of the fire department or rate-payer board) or the Maui grid will become completely uninvestable.

Subject Re: bias conviction
Entry 07/19/2024 10:48 AM
Member Motherlode

I ignored your warning. The fact that the state appears to be footing a multi-billion dollar bill when it doesn't need to... and that it can't afford is staggering. I am not sure the ink is dry. This ATF report is going to come out. Given we are dealing with a group that doesn't seem to get it, I have to assume they will vote to support this. there is some risk that somebody comes to their senses in Congress - as the bankruptcy path is so much better for everyone in the state

The state appears to be playing a heavy hand in negotiation too. The settlement appears to favor non-insurance claims... Islanders. this comes at the expense of insurance companies. To me, this is the more likely undoing of this settlement. if they are insisting on such a small pay-out to insurance... they won't accept this. You will see material hold-outs and insurance companies selling their claims to distressed funds.

Subject Re: bias conviction
Entry 07/19/2024 10:51 AM
Member surf1680

Did anyone read the fantastic WSJ article about Judge Jones in Houston? (It came out on June 19th, a more recent one is not as good). He was sleeping with the lawyer but that's not the point. It highlights something that has permeated finance: credit-friendly, it's-a-carwash, management-can-keep-your-jobs restructuring... *IF* you go to Houston. As money becomes more expensive (higher rates, etc.) this will not work. All I'm saying is that if HE went bk in Hawaii with a Hawaiian judge vs mainland lawyers it would be a completely different show than what they put on in cake-walk town Houston.